

THE WALL STREET JOURNAL.

What's News

Business & Finance

- ◆ **Honeywell said it** would split itself three ways, dividing its aerospace work from its automation business and proceeding with a spinoff of its advanced-materials arm. **A1**
- ◆ **Amazon shares** slipped after the company projected lower-than-expected sales and operating income and said it plans to spend a record amount on capital expenditures this year to build artificial-intelligence infrastructure. **A1**
- ◆ **Major U.S. stock indexes** ended mixed, with the S&P 500 and Nasdaq rising 0.4% and 0.5%, respectively, and the Dow declining 0.3%. **B11**
- ◆ **Luxury giant Gucci** parted ways with designer Sabato De Sarno after he struggled to revive enthusiasm for the brand and lift it out of the luxury industry's doldrums. **B1**
- ◆ **Carlsberg beat profit** expectations in 2024, but said it expected slower growth because of the loss of the San Miguel beer brand license in the U.K. **B3**
- ◆ **AstraZeneca forecast** sales and earnings growth this year as strength in the company's oncology business offset weak sales in China. **B5**
- ◆ **Maersk increased** its dividend after posting a better-than-expected fourth-quarter swing to profit, with results boosted by higher shipping rates. **B5**
- ◆ **Pernod Ricard cut** its expectations for its current fiscal year and beyond, warning it faced deteriorating trends in China and uncertainty about tariffs globally. **B3**
- ◆ **Roblox shares fell** 11% after the videogame company reported disappointing bookings and a soft outlook for 2025. **B4**

World-Wide

- ◆ **Panama's president** accused the Trump administration of lying about a deal that would give the U.S. Navy free access to the Panama Canal, increasing tensions around negotiations about the future of the waterway following Trump's threats to seize it. **A1**
- ◆ **House Republicans** wrapped up a meeting at the White House saying that they had closed gaps in their own internal disagreements over extending expiring tax cuts and cutting spending. **A3**
- ◆ **The Justice Department** sued Illinois and Chicago for efforts to limit cooperation with federal immigration enforcement, firing a salvo at Democratic-led states and sanctuary cities. **A3**
- ◆ **A judge approved** a temporary agreement that limits the sharing of sensitive Treasury data amid a dispute over access given to Musk's allies as he reviews government spending. **A4**
- ◆ **A key DOGE staff** member who gained access to the Treasury Department's central-payments system resigned after he was linked to a deleted social-media account that advocated racism and eugenics. **A4**
- ◆ **A judge extended** a deadline for federal employees to decide whether to accept an offer from the Trump administration to resign from their jobs voluntarily. **A2**
- ◆ **The White House** is drafting an executive order to fire thousands of Department of Health and Human Services workers, people familiar with the matter said. **A2**
- ◆ **Died: Virginia McCaskey**, 102, Chicago Bears owner. **A4**

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Rebels Stage Rally After Seizing Key Congo City



MARIE JEANNE MUNYERIKANA/EPAA SHUTTERSTOCK

TAKEOVER: Rwanda-backed M23 rebels addressed a crowd of thousands at a stadium in Goma, eastern Congo, Thursday after seizing the major city last week. Leaders said the city is 'liberated and sanitized,' but fighting in the region reportedly goes on. **A8**

U.S.-Panama Tensions Flare Over Costs, Control of Canal

Panama's president accused the Trump administration of lying about a deal that would give the U.S. Navy free access to the Panama Canal, intensifying tensions around negotia-

By *Vera Bergengruen, Costas Paris and Santiago Pérez*

tions about the future of the canal following President Trump's threats to seize it.

The diplomatic rupture began Wednesday when the State Department said on X that Panama had agreed to give U.S. government vessels

free passage through the canal, surprising Panama.

The statement came after U.S. Secretary of State Marco Rubio held talks with President José Raúl Mulino of Panama in Panama City this week to hammer out concessions for Trump.

By Thursday morning, Mulino responded there was no deal, calling the U.S. statement full of "lies and falsehoods." Later that day, Rubio said the U.S. had made its expectations "clearly understood" in conversations this week, though he conceded Panama had a legal process to

work through.

Trump and Mulino are expected to continue the talks in a phone call Friday afternoon.

The extraordinary diplomatic volleys highlight how Panama is trying to address Trump's demands while contending with knotty political and legal issues at home. Panama is working on several fronts, but officials are sensitive and prefer the cover of secrecy to carry out negotiations in a country where the canal is a source of national pride and generates much of its government revenue.

Wednesday's State Depart-

ment statement jumped the gun on Panama's legal deliberations, and was seen by Panamanian officials as a way to back them into a corner, people familiar with the discussions said. Such a deal—which would be a significant concession from Panama—would usually be announced at a bilateral meeting with statements from both sides.

The U.S. built the Panama Canal, which opened in 1914 as one of the most expensive and complex infrastructure projects ever. It relinquished it to Panama in late 1999 under

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Honeywell To Follow GE Model, Split Into 3 Firms

Activist investor Elliott has pushed conglomerate to lift its share price

By *LAUREN THOMAS AND SHARON TERLEP*

One of the U.S.'s last big industrial conglomerates is carving itself up.

Honeywell International said it plans to separate its aerospace division from its automation business and move ahead with plans to spin off its advanced-materials arm, confirming an earlier report from The Wall Street Journal.

The moves culminate a portfolio review that Honeywell's board and Chief Executive Officer Vimal Kapur launched about one year ago.

Honeywell has been under added pressure to split from the activist investor Elliott Investment Management. In calling for the breakup late last year, Elliott pointed to the runaway success of General Electric since it completed a three-way split in 2024.

GE's aerospace, energy and healthcare units are now stand-alone businesses that, together, have a market value nearly four times bigger than GE had in 2022.

The aerospace unit alone has a value of around \$215 billion, which is more than double that of prebreakup GE.

Honeywell's share price had been underperforming the broader market, leaving the almost \$150 billion conglomerate vulnerable when Elliott arrived.

On Thursday, the stock initially rose on news of the breakup but closed down 5.6% after executives forecast 2025

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Amazon Expects Weaker Sales Amid AI Outlay

By *PREETIKA RANA*

Amazon.com stock slipped Thursday after the company projected lower-than-expected sales and operating income and said it plans to spend a record amount on capital expenditures this year to build artificial-intelligence infrastructure.

Amazon is the latest leading tech company to unveil big spending plans for AI, even as some investors are starting to question whether the spending spree is prudent.

"Virtually every application that we know of today is going to be reinvented with AI inside of it," Amazon Chief Executive Andy Jassy said on a call with analysts Thursday.

Amazon projected net sales for the first quarter to be between \$151 billion and \$155.5 billion and operating income of between \$14 billion and \$18 billion. Both outlooks were below what Wall Street anticipated.

The company's net sales last quarter rose 10% from a year earlier to \$187.79 billion, in line with analysts' expectations. Net income rose 88% to \$20 billion, above forecasts.

Revenue from Amazon's cloud-computing unit, Amazon Web Services, grew by 19% to \$28.79 billion, slightly lower than expected. Analysts said they were monitoring this number after disappointing cloud-computing results from Alphabet and Microsoft.

Amazon stock—which has climbed around 40% in the past 12 months—fell 4% in after-

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INSIDE



BUSINESS & FINANCE

Candy makers turn to derivatives markets to hedge their bets as cocoa prices soar. **B1**



YURI HASEGAWA FOR WSJ

MANSION

At Smoke Tree Ranch in Palm Springs, 'colonists' seek to re-create the Old West. **M1**

How a Hit Show's Director Unwittingly Leaked a Plot Spoiler

A misplaced ad during a podcast revealed a secret about 'Severance;' No spoilers here

By *DAVID MARCELIS*

Michelle Brochon was cleaning her apartment a few weeks ago when she got exposed to a fairly significant plot reveal from one of her favorite shows.

She had no reason to have her guard up. She was fully caught up on "Severance," a dystopian series about employees who have their work lives and personal lives severed due to a chip implanted in their brains.

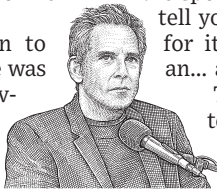
The 38-year-old hairdresser from Long Island was listening to a podcast recapping the latest episode. During a commercial break, an ad for a

workspace software program referenced something that hadn't yet happened on the show.

"I did a double take," she said of the moment she heard the spoiler. "I wish I could tell you how wild it was for it to be spoiled by an... ad?"

The golden age of television is a minefield for viewers. Hit shows spawn podcasts, subreddits and YouTube episode breakdowns, where obsessive fans dissect every element. For people who don't watch a show immediately when it's released, spoilers lurk everywhere.

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Ben Stiller

Firings Push FBI Into Free Fall

The Trump administration seeks to recast the bureau's staff and mission

WASHINGTON—A half-dozen of the most senior officials at the Federal Bureau of Investigation met at headquarters last week to hear

By *Sadie Gurman, C. Ryan Barber and Aruna Viswanatha*

an urgent directive from the Trump administration. One official had been a lead investigator in the 9/11 attacks. Another ran the in-

vestigation into the attempted assassination of President Trump last summer. They all waited for Brian Driscoll, the FBI acting director.

Driscoll arrived from a tense meeting with Emil Bove, the Trump-appointed second in command at the Justice Department. Bove

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◆ **Firings of thousands at HHS expected.....** **A2**

China Firms Bleed Cash As a Trade War Looms

By *HANNAH MIAO*

Xinte Energy, a Chinese green-energy firm, says on its website that it is "delivering light and warmth to every corner of the world." It is also losing tons of money.

The maker of polysilicon, a building block for solar panels, recently told shareholders it expects to report losses of around 4 billion yuan, equivalent to more than \$500 million, for 2024. Intense pressure by the government to build up key industries has led to fierce competition and price wars while demand has stalled, hitting the company's bottom line.

Unfortunately for China, it isn't just the solar-power industry. Companies across the country are bleeding cash as they struggle with overcapacity and weak spending in a slumping economy.

FactSet China index, net-profit margin



Note: Net-profit margin over past 12 months
Source: FactSet

Those problems are leaving China unusually vulnerable as President Trump tightens the screws with a new 10% tariff on Chinese goods and threats

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